

COMMITTEE ON GOVERNMENT
SENATE AMENDMENTS TO H.B. 2397
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 33-1260, Arizona Revised Statutes, is amended to
3 read:

4 33-1260. Sale of units; information required; fees; civil
5 penalty; applicability; definition

6 A. For condominiums with fewer than fifty units, a unit owner shall
7 ~~mail~~ ELECTRONICALLY TRANSMIT or deliver to a purchaser or a purchaser's
8 ~~authorized~~ DESIGNATED agent THE INFORMATION REQUIRED BY THIS SUBSECTION
9 within ten days after ~~receipt of a written notice of a pending sale of the~~
10 ~~unit, and~~ ACCEPTANCE OF THE PURCHASER'S OFFER TO PURCHASE. For
11 condominiums with fifty or more units, [ON THE UNIT OWNER'S ACCEPTANCE OF
12 THE PURCHASER'S OFFER TO PURCHASE, THE UNIT OWNER SHALL PROVIDE A WRITTEN
13 NOTICE TO THE ASSOCIATION OF THE UNIT OWNER'S ACCEPTANCE OF THE
14 PURCHASER'S OFFER TO PURCHASE AND] the association shall ~~mail~~
15 ELECTRONICALLY TRANSMIT or deliver to [~~a~~] [THE] purchaser or [~~a~~] [THE]
16 purchaser's ~~authorized~~ DESIGNATED agent within ten days after receipt of
17 [~~a~~] [THE] written notice of [~~a pending sale~~] [THE SELLER'S ACCEPTANCE OF
18 THE PURCHASER'S OFFER TO PURCHASE] that contains the name, EMAIL ADDRESS
19 and MAILING address of the purchaser OR THE PURCHASER'S DESIGNATED AGENT
20 all of the following in either paper or electronic format:

21 1. A copy of the CURRENT bylaws and the CURRENT rules of the
22 association.

23 2. A copy of the CURRENT RECORDED declaration AND FINAL PLAT OR AN
24 ELECTRONIC COPY OF THE FINAL PLAT, IF AVAILABLE.

1 3. A COPY OF THE BOARD OF DIRECTORS-APPROVED MINUTES ~~[OF ALL OPEN]~~
2 ~~[FROM THE PREVIOUS THREE OPEN]~~ MEETINGS OF THE BOARD OF DIRECTORS ~~[FOR THE~~
3 ~~PREVIOUS THREE MEETINGS]~~.

4 ~~3.~~ 4. A dated statement containing:

5 (a) The telephone number and address of a principal contact for the
6 association, which may be an association manager, an association
7 management company, an officer of the association or any other person
8 designated by the board of directors.

9 (b) The amount of ~~AND PAYMENT SCHEDULE FOR~~ the ~~ANNUAL~~ common
10 expense assessment for the unit and ~~THE REMAINING INSTALLMENTS AND PAYMENT~~
11 ~~SCHEDULES ON ANY APPROVED AND ASSESSED SPECIAL ASSESSMENT, IF ANY.~~

12 (c) ~~THE AMOUNT AND PURPOSE OF ANY SPECIAL ASSESSMENT APPROVED BY~~
13 ~~THE BOARD OF DIRECTORS BUT NOT YET ASSESSED OR ANY SPECIAL ASSESSMENT~~
14 ~~SUBMITTED BY THE BOARD OF DIRECTORS FOR UNIT OWNER APPROVAL WITHIN THE~~
15 ~~PREVIOUS FOUR MONTHS, IF ANY.~~

16 (d) ~~ANY KNOWN MATERIAL DEFICIENCY OR CONDITION OF THE LIMITED~~
17 ~~COMMON ELEMENTS ASSOCIATED WITH THE UNIT OR COMMON ELEMENTS KNOWN BY THE~~
18 ~~ASSOCIATION FOR WHICH THE PURCHASER WILL BE LIABLE FOR THE DIRECTLY~~
19 ~~ASSESSED REPAIR COSTS WITHIN SIX MONTHS OF THE PURCHASE, IF ANY.~~

20 (e) ~~THE CURRENT AMOUNT OF~~ any unpaid common expense
21 ~~assessment, special assessment or other assessment, fee or charge~~
22 ~~currently due and payable from the selling unit owner. If the request is~~
23 ~~made by a lienholder, escrow agent, unit owner or person designated by a~~
24 ~~unit owner pursuant to section 33-1256, failure to provide the information~~
25 ~~pursuant to this subdivision within the time provided for in this~~
26 ~~subsection shall extinguish any lien for any unpaid assessment then due~~
27 ~~against that unit~~ ~~LIEN OR JUDGMENT LIEN ON THE UNIT DUE TO THE ASSOCIATION~~
28 ~~PURSUANT TO SECTION 33-1256 AND ANY LIS PENDENS RECORDED BY THE~~
29 ~~ASSOCIATION AGAINST THE UNIT.~~

30 ~~(c) A statement as to whether a portion of the unit is covered by~~
31 ~~insurance maintained by the association.~~

32 ~~(d) The total amount of money held by the association as reserves.~~

33 ~~(e) If the statement is being furnished by the association, a~~
34 ~~statement as to whether the records of the association reflect any~~
35 ~~alterations or improvements to the unit that violate the declaration. The~~
36 ~~association is not obligated to provide information regarding alterations~~
37 ~~or improvements that occurred more than six years before the proposed~~
38 ~~sale. Nothing in this subdivision relieves the seller of a unit from the~~
39 ~~obligation to disclose alterations or improvements to the unit that~~
40 ~~violate the declaration, nor precludes the association from taking action~~
41 ~~against the purchaser of a unit for violations that are apparent at the~~
42 ~~time of purchase and that are not reflected in the association's records.~~

43 ~~(f) If the statement is being furnished by the unit owner, a~~
44 ~~statement as to whether the unit owner has any knowledge of any~~
45 ~~alterations or improvements to the unit that violate the declaration.~~

1 ~~(g) A statement of case names and case numbers for pending~~
2 ~~litigation with respect to the unit filed by the association against the~~
3 ~~unit owner or filed by the unit owner against the association. The unit~~
4 ~~owner or the association shall not be required to disclose information~~
5 ~~concerning the pending litigation that would violate any applicable rule~~
6 ~~of attorney-client privilege under Arizona law.~~
7 ~~(h) A statement that provides "I hereby acknowledge that the~~
8 ~~declaration, bylaws and rules of the association constitute a contract~~
9 ~~between the association and me (the purchaser). By signing this~~
10 ~~statement, I acknowledge that I have read and understand the association's~~
11 ~~contract with me (the purchaser). I also understand that as a matter of~~
12 ~~Arizona law, if I fail to pay my association assessments, the association~~
13 ~~may foreclose on my property."~~ The statement shall also include a
14 ~~signature line for the purchaser and shall be returned to the association~~
15 ~~within fourteen calendar days.~~
16 (f) THE AMOUNT AND PURPOSE OF ANY TITLE TRANSFER FEE OR OTHER
17 SIMILAR FEE, HOWEVER DENOMINATED, THAT IS AUTHORIZED IN THE DECLARATION
18 AND ESTABLISHED BY THE ASSOCIATION PURSUANT TO SECTION 33-442.
19 (g) A COPY OF THE ASSOCIATION'S MOST RECENT INCOME AND EXPENSES
20 FINANCIAL STATEMENT FOR ALL OPERATING AND RESERVE ACCOUNTS, AS APPLICABLE.
21 (h) ANY OUTSTANDING AND UNRESOLVED VIOLATION OF THE ASSOCIATION'S
22 CONDOMINIUM DOCUMENTS THAT WAS CITED AGAINST THE UNIT, IF ANY.
23 ~~4.~~ 5. A copy of the current operating budget of the association.
24 ~~5.~~ 6. A copy of the most recent annual ~~financial~~ AUDIT, REVIEW OR
25 COMPILATION report of the association PRESCRIBED BY SECTION 33-1243,
26 SUBSECTION J. If the report is more than ten pages, the association may
27 provide a summary of the report in lieu of the entire report.
28 ~~6.~~ 7. A copy of the most recent reserve study of the association,
29 if any. IF THE REPORT IS MORE THAN TEN PAGES, THE ASSOCIATION MAY PROVIDE
30 A SUMMARY OF THE REPORT IN LIEU OF THE ENTIRE REPORT.
31 ~~7.~~ 8. A statement summarizing any pending lawsuits, except those
32 relating to the collection of assessments owed by unit owners other than
33 the selling unit owner, in which the association is a named party,
34 including the amount of any money claimed.
35 9. A STATEMENT AS TO WHETHER A PORTION OF THE UNIT IS COVERED BY
36 INSURANCE MAINTAINED BY THE ASSOCIATION AND A COPY OF ALL INSURANCE
37 CERTIFICATES IDENTIFYING THE COVERAGE LIMITS AND DEDUCTIBLES MAINTAINED BY
38 THE ASSOCIATION PURSUANT TO SECTION 33-1253.
39 10. A STATEMENT AS TO WHETHER THE CONDOMINIUM IS UNDER DECLARANT
40 CONTROL AND THE APPROXIMATE PERCENTAGE OF UNITS IDENTIFIED ON THE RECORDED
41 PLAT THAT ARE CURRENTLY OWNED BY THE DECLARANT.
42 11. A STATEMENT IDENTIFYING WHETHER ANY CORPORATION OR LIMITED
43 LIABILITY COMPANY OWNS AND LEASES THIRTY-FIVE PERCENT OR MORE OF THE
44 UNITS.

1 12. A STATEMENT THAT, FOR ANY REPORT PROVIDED IN SUMMARY FORMAT
2 PURSUANT TO THIS SUBSECTION, THE PURCHASER MAY REQUEST TO VIEW THE ENTIRE
3 REPORT FROM THE ASSOCIATION DIRECTLY, AND THE ASSOCIATION SHALL PROVIDE
4 ACCESS TO THAT REPORT WITHIN TEN DAYS AFTER A WRITTEN REQUEST.

5 13. A STATEMENT TO BE SIGNED BY THE PURCHASER AT THE CLOSE OF
6 ESCROW THAT PROVIDES "I HEREBY ACKNOWLEDGE THAT WITH THE PURCHASE OF THIS
7 HOME OR PROPERTY, I WILL BE CONTRACTUALLY BOUND TO THE VALID COVENANTS,
8 CONDITIONS AND RESTRICTIONS OF THE RECORDED DECLARATION, AND WILL BE
9 CONTRACTUALLY BOUND TO PAY ALL COMMON EXPENSE ASSESSMENTS APPLIED TO MY
10 HOME OR PROPERTY AS AUTHORIZED IN THE DECLARATION AND TITLE 33, CHAPTER 9
11 OR 16, ARIZONA REVISED STATUTES, AS APPLICABLE. IF I FAIL TO PAY COMMON
12 EXPENSE ASSESSMENTS, I MAY BE SUBJECT TO COLLECTION ACTIVITY BY THE
13 ASSOCIATION UP TO AND INCLUDING FORECLOSURE ACTION, WITHOUT THE EQUITY
14 PROTECTION OF THE HOMESTEAD ACT PURSUANT TO TITLE 33, CHAPTER 8, ARIZONA
15 REVISED STATUTES."

16 14. IF THE UNIT IS GOVERNED BY MULTIPLE ASSOCIATIONS, A STATEMENT
17 NOTIFYING THE PURCHASER THAT THE UNIT IS SUBJECT TO EACH ASSOCIATION'S
18 RESALE DISCLOSURE FEE AUTHORIZED UNDER SUBSECTION D OF THIS SECTION.

19 B. ALL INFORMATION THAT IS PROVIDED UNDER SUBSECTION A OF THIS
20 SECTION SHALL BE BASED ON THE GOOD FAITH RELIANCE ON ASSOCIATION RECORDS
21 OR INFORMATION, WITHOUT THE NEED FOR INDEPENDENT INVESTIGATION OR
22 VALIDATION.

23 ~~B.~~ C. A purchaser or seller who is damaged by ~~the failure of~~ the
24 unit owner or the association KNOWINGLY OR RECKLESSLY FAILING to disclose
25 the information required by subsection A of this section OR KNOWINGLY OR
26 RECKLESSLY PROVIDING MATERIALLY FALSE OR MISLEADING STATEMENTS IN THE
27 DISCLOSURE may pursue all remedies at law or in equity against the unit
28 owner or the association, whichever failed to comply with subsection A of
29 this section, including the recovery of reasonable attorney fees AS
30 AWARDED BY THE COURT.

31 ~~C.~~ D. The association may charge the unit owner a fee of not more
32 than an aggregate of ~~four hundred dollars~~ \$400 to compensate the
33 association for the costs incurred in the preparation and delivery of a
34 ~~statement~~ REPORT or other documents furnished by the association pursuant
35 to this section for purposes of resale disclosure, lien estoppel and any
36 other services related to the transfer or use of the property. In
37 addition, the association may charge a rush fee of not more than ~~one~~
38 ~~hundred dollars~~ \$100 if the rush services are required to be performed
39 within seventy-two hours after the request for rush services. ~~, and~~ THE
40 UNIT OWNER may REQUEST THE ASSOCIATION TO UPDATE THE REPORT IF THIRTY DAYS
41 OR MORE HAVE PASSED SINCE THE DATE OF THE ORIGINAL DISCLOSURE REPORT. THE
42 ASSOCIATION MAY charge a ~~statement or other documents~~ DOCUMENT update fee
43 of not more than ~~fifty dollars if thirty days or more have passed since~~
44 ~~the date of the original disclosure statement or the date the documents~~
45 ~~were delivered~~ \$50. The association shall make available to any
46 interested party the amount of any fee established from time to time by
47 the association. ~~If the aggregate fee for purposes of resale disclosure,~~

1 ~~lien estoppel and any other services related to the transfer or use of a~~
2 ~~property is less than four hundred dollars on January 1, 2010, the fee may~~
3 ~~increase at a rate of not more than twenty percent per year based on the~~
4 ~~immediately preceding fiscal year's amount not to exceed the four hundred~~
5 ~~dollar aggregate fee.~~ The association may charge the same fee without
6 regard to whether the association is furnishing the statement or other
7 documents in paper or electronic format.

8 ~~D.~~ E. The fees prescribed by this section shall be collected ~~no~~
9 NOT earlier than at the close of escrow and may only be charged once to a
10 unit owner OR PURCHASER for that transaction between the parties ~~specified~~
11 ~~in the notice required pursuant to subsection A of this section.~~ An
12 association shall not charge or collect a fee relating to services for
13 resale disclosure, lien estoppel and any other services related to the
14 transfer or use of a property except as specifically authorized in this
15 section. An association that charges or collects a fee in violation of
16 this section is subject to a civil penalty of not more than ~~one thousand~~
17 ~~two hundred dollars~~ \$1,200.

18 ~~E.~~ F. This section applies to a managing agent for an association
19 that is acting on behalf of the association.

20 ~~F.~~ G. The following are exempt from this section:

21 1. A sale in which a public report is issued pursuant to section
22 32-2183 or 32-2197.02.

23 2. A sale pursuant to section 32-2181.02.

24 3. A conveyance by recorded deed that bears an exemption listed in
25 section 11-1134, subsection B, paragraph 3 or 7. On recordation of the
26 deed ~~and for no additional charge~~, the ~~unit owner~~ PURCHASER shall provide
27 the association with the changes in ownership, including the unit owner's
28 name, billing address and phone number. Failure to provide the
29 information shall not prevent the unit owner from qualifying for the
30 exemption pursuant to this section.

31 ~~G.~~ H. This section does not apply to timeshare plans or
32 associations that are subject to chapter 20 of this title.

33 ~~H.~~ I. For the purposes of this section, unless the context
34 otherwise requires, "unit owner":

35 1. Means the seller of the condominium unit title. ~~and excludes~~

36 2. DOES NOT INCLUDE:

37 (a) Any real estate salesperson or real estate broker who is
38 licensed under title 32, chapter 20 and who is acting as a salesperson or
39 broker. ~~;~~

40 (b) Any escrow agent who is licensed under title 6, chapter 7 and
41 who is acting as an escrow agent. ~~and also excludes~~

42 (c) A trustee of a deed of trust who is selling the property in a
43 trustee's sale pursuant to chapter 6.1 of this title.

44 <<Sec. 2. Title 33, chapter 9, article 3, Arizona Revised Statutes,
45 is amended by adding section 33-1262, to read:

46 33-1262. Capital projects; reserve account; on-site manager

1 [NOTWITHSTANDING ANY PROVISION IN THE CONDOMINIUM DOCUMENTS, FOR ANY
2 CAPITAL OR RESERVE ACCOUNT PROJECT AUTHORIZED BY THE ASSOCIATION, THE
3 ASSOCIATION MANAGER ASSIGNED TO THE PROJECT BY THE ASSOCIATION'S
4 CONTRACTED MANAGEMENT COMPANY SHALL BE ON-SITE AS FOLLOWS:

5 1. FOR AT LEAST THIRTY MINUTES BEFORE THE START OF WORK AND SHALL
6 REMAIN ON-SITE FOR AT LEAST THR INITIAL TWO HOURS.

7 2. FOR AT LEAST TWO HOURS EACH DAY THAT THE PROJECT CONTINUES.

8 3. THE TIME REQUIRED TO COMPLETE AN ON-SITE JOB SITE INSPECTION
9 WITH THE ASSOCIATION'S CONTRACTED VENDOR FOR THE PROJECT.

10 4. FOR AT LEAST TWENTY-FIVE PRECENT OF THE TOTAL PROJECT TIME.]]>>

11 Sec. 3. Section 33-1806, Arizona Revised Statutes, is amended to
12 read:

13 33-1806. Sale of properties; information required; fees;
14 civil penalty; definition

15 A. For planned communities with fewer than fifty ~~units~~ PROPERTIES,
16 a member shall ~~mail~~ ELECTRONICALLY TRANSMIT or deliver to a purchaser or a
17 purchaser's ~~authorized~~ DESIGNATED agent THE INFORMATION REQUIRED BY THIS
18 SUBSECTION within ten days after ~~receipt of a written notice of a pending~~
19 ~~sale of the unit, and~~ ACCEPTANCE OF THE PURCHASER'S OFFER TO PURCHASE.

20 For planned communities with fifty or more ~~units~~ PROPERTIES, [ON THE
21 MEMBER'S ACCEPTANCE OF THE PURCHASER'S OFFER TO PURCHASE, THE MEMBER SHALL
22 PROVIDE A WRITTEN NOTICE TO THE ASSOCIATION OF THE MEMBER'S ACCEPTANCE OF
23 THE PURCHASER'S OFFER TO PURCHASE AND] the association shall ~~mail~~
24 ELECTRONICALLY TRANSMIT or deliver to ~~[a]~~ [THE] purchaser or ~~[a]~~ [THE]
25 purchaser's ~~authorized~~ DESIGNATED agent within ten days after receipt of
26 ~~[a]~~ [THE] written notice of ~~[a pending sale]~~ [THE SELLER'S ACCEPTANCE OF
27 THE PURCHASER'S OFFER TO PURCHASE] that contains the name, EMAIL ADDRESS
28 and MAILING address of the purchaser OR THE PURCHASER'S DESIGNATED AGENT
29 all of the following in either paper or electronic format:

30 1. A copy of the CURRENT bylaws and the CURRENT rules of the
31 association.

32 2. A copy of the CURRENT declaration AND FINAL PLAT OR AN
33 ELECTRONIC COPY OF THE FINAL PLAT, IF AVAILABLE.

34 3. A COPY OF THE BOARD-APPROVED MINUTES ~~[OF ALL OPEN]~~ [FOR THE
35 PREVIOUS THREE OPEN] MEETINGS OF THE BOARD OF DIRECTORS ~~[FOR THE PREVIOUS~~
36 ~~THREE MEETINGS]~~.

37 ~~3.~~ 4. A dated statement containing:

38 (a) The telephone number and address of a principal contact for the
39 association, which may be an association manager, an association
40 management company, an officer of the association or any other person
41 designated by the board of directors.

42 (b) The amount of AND PAYMENT SCHEDULE FOR the ANNUAL common
43 regular assessment and the REMAINING INSTALLMENTS AND PAYMENT SCHEDULES ON
44 ANY APPROVED AND ASSESSED SPECIAL ASSESSMENT, IF ANY.

45 (c) THE AMOUNT AND PURPOSE OF ANY SPECIAL ASSESSMENT APPROVED BY
46 THE BOARD OF DIRECTORS BUT NOT YET ASSESSED OR ANY SPECIAL ASSESSMENT

1 SUBMITTED BY THE BOARD FOR MEMBER APPROVAL WITHIN THE PREVIOUS FOUR
2 MONTHS, IF ANY.

3 (d) THE CURRENT AMOUNT OF ANY unpaid common regular
4 ~~assessment, special assessment or other assessment, fee or charge~~
5 ~~currently due and payable from the selling member. If the request is made~~
6 ~~by a lienholder, escrow agent, member or person designated by a member~~
7 ~~pursuant to section 33-1807, failure to provide the information pursuant~~
8 ~~to this subdivision within the time provided for in this subsection shall~~
9 ~~extinguish any lien for any unpaid assessment then due against that~~
10 ~~property~~ LIEN OR JUDGMENT LIEN ON THE PROPERTY DUE TO THE ASSOCIATION
11 PURSUANT TO SECTION 33-1807 AND ANY LIS PENDENS RECORDED BY THE
12 ASSOCIATION AGAINST THE PROPERTY.

13 (c) ~~A statement as to whether a portion of the unit is covered by~~
14 ~~insurance maintained by the association.~~

15 (d) ~~The total amount of money held by the association as reserves.~~

16 (e) ~~If the statement is being furnished by the association, a~~
17 ~~statement as to whether the records of the association reflect any~~
18 ~~alterations or improvements to the unit that violate the declaration. The~~
19 ~~association is not obligated to provide information regarding alterations~~
20 ~~or improvements that occurred more than six years before the proposed~~
21 ~~sale. Nothing in this subdivision relieves the seller of a unit from the~~
22 ~~obligation to disclose alterations or improvements to the unit that~~
23 ~~violate the declaration, nor precludes the association from taking action~~
24 ~~against the purchaser of a unit for violations that are apparent at the~~
25 ~~time of purchase and that are not reflected in the association's records.~~

26 (f) ~~If the statement is being furnished by the member, a statement~~
27 ~~as to whether the member has any knowledge of any alterations or~~
28 ~~improvements to the unit that violate the declaration.~~

29 (g) ~~A statement of case names and case numbers for pending~~
30 ~~litigation with respect to the unit filed by the association against the~~
31 ~~member or filed by the member against the association. The member shall~~
32 ~~not be required to disclose information concerning such pending litigation~~
33 ~~that would violate any applicable rule of attorney-client privilege under~~
34 ~~Arizona law.~~

35 (h) ~~A statement that provides "I hereby acknowledge that the~~
36 ~~declaration, bylaws and rules of the association constitute a contract~~
37 ~~between the association and me (the purchaser). By signing this~~
38 ~~statement, I acknowledge that I have read and understand the association's~~
39 ~~contract with me (the purchaser). I also understand that as a matter of~~
40 ~~Arizona law, if I fail to pay my association assessments, the association~~
41 ~~may foreclose on my property."~~ The statement shall also include a
42 ~~signature line for the purchaser and shall be returned to the association~~
43 ~~within fourteen calendar days.~~

44 (e) THE AMOUNT AND PURPOSE OF ANY TITLE TRANSFER FEE OR OTHER
45 SIMILAR FEE, HOWEVER DENOMINATED, THAT IS AUTHORIZED IN THE DECLARATION
46 AND ESTABLISHED BY THE ASSOCIATION PURSUANT TO SECTION 33-442.

1 (f) A COPY OF THE ASSOCIATION'S MOST RECENT INCOME AND EXPENSES
2 FINANCIAL STATEMENT FOR ALL OPERATING AND RESERVE ACCOUNTS, AS APPLICABLE.
3 (g) ANY OUTSTANDING AND UNRESOLVED VIOLATION OF THE ASSOCIATION'S
4 COMMUNITY DOCUMENTS THAT WAS CITED AGAINST THE PROPERTY, IF ANY.
5 ~~4.~~ 5. A copy of the current operating budget of the association.
6 ~~5.~~ 6. A copy of the most recent annual ~~financial~~ AUDIT, REVIEW OR
7 COMPILATION report of the association PURSUANT TO SECTION 33-1810. If the
8 report is more than ten pages, ~~the association may provide~~ a summary of
9 the report ~~in lieu~~ MAY BE PROVIDED IN PLACE of the entire report.
10 ~~6.~~ 7. A copy of the most recent reserve study of the association,
11 if any. IF THE REPORT IS MORE THAN TEN PAGES, THE ASSOCIATION MAY PROVIDE
12 A SUMMARY OF THE REPORT IN PLACE OF THE ENTIRE REPORT.
13 ~~7.~~ 8. A statement summarizing any pending lawsuits, except those
14 relating to the collection of assessments owed by members other than the
15 selling member, in which the association is a named party, including the
16 amount of any money claimed.
17 9. A STATEMENT AS TO WHETHER THE PLANNED COMMUNITY IS UNDER
18 DECLARANT CONTROL AND THE APPROXIMATE PERCENTAGE OF LOTS IDENTIFIED ON THE
19 RECORDED PLAT THAT ARE CURRENTLY OWNED BY THE DECLARANT.
20 10. A STATEMENT THAT, FOR ANY REPORT PROVIDED IN SUMMARY FORMAT
21 PURSUANT TO THIS SUBSECTION, THE PURCHASER MAY REQUEST TO VIEW THE ENTIRE
22 REPORT FROM THE ASSOCIATION DIRECTLY, AND THE ASSOCIATION SHALL PROVIDE
23 ACCESS TO THAT REPORT WITHIN TEN DAYS AFTER A WRITTEN REQUEST.
24 11. A STATEMENT TO BE SIGNED BY THE PURCHASER AT THE CLOSE OF
25 ESCROW THAT PROVIDES "I HEREBY ACKNOWLEDGE THAT WITH THE PURCHASE OF THIS
26 HOME OR PROPERTY, I WILL BE CONTRACTUALLY BOUND TO THE VALID COVENANTS,
27 CONDITIONS AND RESTRICTIONS OF THE RECORDED DECLARATION, AND WILL BE
28 CONTRACTUALLY BOUND TO PAY ALL COMMON EXPENSE ASSESSMENTS APPLIED TO MY
29 HOME OR PROPERTY AS AUTHORIZED IN THE DECLARATION AND TITLE 33, CHAPTER 9
30 OR 16, ARIZONA REVISED STATUTES, AS APPLICABLE. IF I FAIL TO PAY COMMON
31 EXPENSE ASSESSMENTS, I MAY BE SUBJECT TO COLLECTION ACTIVITY BY THE
32 ASSOCIATION UP TO AND INCLUDING FORECLOSURE ACTION, WITHOUT THE EQUITY
33 PROTECTION OF THE HOMESTEAD ACT PURSUANT TO TITLE 33, CHAPTER 8, ARIZONA
34 REVISED STATUTES."
35 12. IF THE PROPERTY IS GOVERNED BY MULTIPLE ASSOCIATIONS, A
36 STATEMENT NOTIFYING THE PURCHASER THAT THE PROPERTY IS SUBJECT TO EACH
37 ASSOCIATION'S RESALE DISCLOSURE FEE AUTHORIZED UNDER SUBSECTION D OF THIS
38 SECTION.
39 B. ALL INFORMATION THAT IS PROVIDED UNDER SUBSECTION A OF THIS
40 SECTION SHALL BE BASED ON THE GOOD FAITH RELIANCE ON ASSOCIATION RECORDS
41 OR INFORMATION, WITHOUT THE NEED FOR INDEPENDENT INVESTIGATION OR
42 VALIDATION.
43 ~~B.~~ C. A purchaser or seller who is damaged by ~~the failure of~~ the
44 member or the association KNOWINGLY OR RECKLESSLY FAILING to disclose the
45 information required by subsection A of this section OR KNOWINGLY OR
46 RECKLESSLY PROVIDING MATERIALLY FALSE OR MISLEADING STATEMENTS IN THE
47 DISCLOSURE may pursue all remedies at law or in equity against the member

1 or the association, whichever failed to comply with subsection A of this
2 section, including the recovery of reasonable attorney fees ~~AS AWARDED BY~~
3 ~~THE COURT~~.

4 ~~C.~~ D. The association may charge the member a fee of not more than
5 an aggregate of ~~four hundred dollars~~ \$400 to compensate the association
6 for the costs incurred in the preparation and delivery of a ~~statement~~
7 ~~REPORT~~ or other documents furnished by the association pursuant to this
8 section for purposes of resale disclosure, lien estoppel and any other
9 services related to the transfer or use of the property. In addition, the
10 association may charge a rush fee of not more than ~~one hundred dollars~~
11 \$100 if the rush services are required to be performed within seventy-two
12 hours after the request for rush services. ~~and THE MEMBER may REQUEST~~
13 ~~THE ASSOCIATION TO UPDATE THE REPORT IF THIRTY DAYS OR MORE HAVE PASSED~~
14 ~~SINCE THE DATE OF THE ORIGINAL DISCLOSURE REPORT. THE ASSOCIATION MAY~~
15 charge a ~~statement or other documents~~ DOCUMENT update fee of not more than
16 ~~fifty dollars if thirty days or more have passed since the date of the~~
17 ~~original disclosure statement or the date the documents were delivered~~
18 \$50. The association shall make available to any interested party the
19 amount of any fee established from time to time by the association. ~~if~~
20 ~~the aggregate fee for purposes of resale disclosure, lien estoppel and any~~
21 ~~other services related to the transfer or use of a property is less than~~
22 ~~four hundred dollars on January 1, 2010, the fee may increase at a rate of~~
23 ~~not more than twenty percent per year based on the immediately preceding~~
24 ~~fiscal year's amount not to exceed the four hundred dollar aggregate fee.~~
25 The association may charge the same fee without regard to whether the
26 association is furnishing the statement or other documents in paper or
27 electronic format.

28 ~~D.~~ E. The fees prescribed by this section shall be collected ~~no~~
29 NOT earlier than at the close of escrow and may only be charged once to a
30 member OR PURCHASER for that transaction between the parties ~~specified in~~
31 ~~the notice required pursuant to subsection A of this section.~~ An
32 association shall not charge or collect a fee relating to services for
33 resale disclosure, lien estoppel and any other services related to the
34 transfer or use of a property except as specifically authorized in this
35 section. An association that charges or collects a fee in violation of
36 this section is subject to a civil penalty of not more than ~~one thousand~~
37 ~~two hundred dollars~~ \$1,200.

38 ~~E.~~ F. This section applies to a managing agent for an association
39 that is acting on behalf of the association.

40 ~~F.~~ G. The following are exempt from this section:

41 1. A sale in which a public report is issued pursuant to section
42 32-2183 or 32-2197.02.

43 2. A sale pursuant to section 32-2181.02.

44 3. A conveyance by recorded deed that bears an exemption listed in
45 section 11-1134, subsection B, paragraph 3 or 7. On recordation of the
46 deed ~~and for no additional charge~~, the ~~member~~ PURCHASER shall provide the
47 association with the changes in ownership, including the member's name,

1 billing address and phone number. Failure to provide the information
2 shall not prevent the member from qualifying for the exemption pursuant to
3 this section.

4 ~~G.~~ H. For the purposes of this section, unless the context
5 otherwise requires, "member":

6 1. Means the seller of the ~~unit~~ PROPERTY title. ~~and excludes~~

7 2. DOES NOT INCLUDE:

8 (a) Any real estate salesperson or real estate broker who is
9 licensed under title 32, chapter 20 and who is acting as a salesperson or
10 broker. ~~,~~

11 (b) Any escrow agent who is licensed under title 6, chapter 7 and
12 who is acting as an escrow agent. ~~and also excludes~~

13 (c) A trustee of a deed of trust who is selling the property in a
14 trustee's sale pursuant to chapter 6.1 of this title.

15 <<Sec. 4. Title 33, chapter 16, article 1, Arizona Revised
16 Statutes, is amended by adding section 33-1821, to read:

17 33-1821. Capital projects; reserve account; on-site manager

18 [NOTWITHSTANDING ANY PROVISION IN THE CONDOMINIUM DOCUMENTS, FOR ANY
19 CAPITAL OR RESERVE ACCOUNT PROJECT AUTHORIZED BY THE ASSOCIATION, THE
20 ASSOCIATION MANAGER ASSIGNED TO THE PROJECT BY THE ASSOCIATION'S
21 CONTRACTED MANAGEMENT COMPANY SHALL BE ON-SITE AS FOLLOWS:

22 1. FOR AT LEAST THE INITIAL THIRTY MINUTES BEFORE THE START OF WORK
23 AND SHALL REMAIN ON-SITE FOR AT LEAST TWO HOURS.

24 2. FOR AT LEAST TWO HOURS EACH DAY THAT THE PROJECT CONTINUES.

25 3. THE TIME REQUIRED TO COMPLETE AN ON-SITE JOB SITE INSPECTION WITH
26 THE ASSOCIATION'S CONTRACTED VENDOR FOR THE PROJECT.

27 4. FOR AT LEAST TWENTY-FIVE PERCENT OF THE TOTAL PROJECT TIME.]>>

28 Enroll and engross to conform

29 Amend title to conform

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